Business Economics

Field Study on Cash And Digital Payment

Course Code – ECO113

Submitted by

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UPI vs. Cash: Unpacking Consumer Payment Choices in India

This presentation explores the dynamics of consumer payment preferences in India, specifically focusing on the interplay between Unified Payments Interface (UPI) and traditional cash. We will analyze the microeconomic and behavioral factors influencing these choices, drawing insights from a recent field experiment.

Research Objective & Methodology

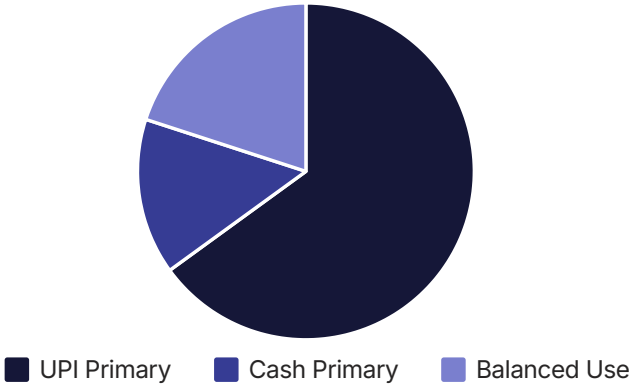
Research Objective

To understand the microeconomic drivers and behavioral nuances behind consumer payment choices between UPI and cash, identifying key factors that facilitate or hinder digital payment adoption in India. This study aims to provide actionable insights for stakeholders.

Methodology

- **Survey Design:** Administered a structured questionnaire covering payment habits, preferences, and perceptions.
- **Sample Size:** 50+ respondents, primarily university students from diverse academic backgrounds.
- **Key Questions:** Included frequency of UPI usage, percentage of digital vs. cash transactions, and satisfaction ratings with UPI (on a Likert scale).

Key Findings: Usage & Satisfaction



The survey data indicates a significant preference for UPI, with 65% of respondents reporting it as their primary payment method. Cash remains dominant for a smaller segment (15%), while 20% utilize both methods equally. This highlights UPI's strong penetration among the surveyed demographic.

UPI Satisfaction Ratings (1-5 Scale)

- **Ease of Use:** 4.7
- **Speed of Transaction:** 4.5
- **Security Perception:** 3.9
- **Overall Satisfaction:** 4.3

Satisfaction with UPI is generally high, particularly regarding ease of use and transaction speed. Security perception, while still positive, registers slightly lower, indicating a potential area for improvement or increased awareness campaigns.

Google Form Survey

A Google Form survey was conducted in the college with students and faculty to gather feedback on why students prefer digital transactions over cash. Along with this, short face-to-face interviews were taken, where faculty shared real-life issues like server problems and payment process time. The combined inputs helped in understanding user needs and improving the system design.

Link to google form- **https://docs.google.com/forms/d/e/1FAIpQLSejZ1-lWNvoFI6cNSibPrqbeYfxYWcDrIVBG_glBCapX3t9cQ/viewform?usp=header**

Google Form Survey

Course:

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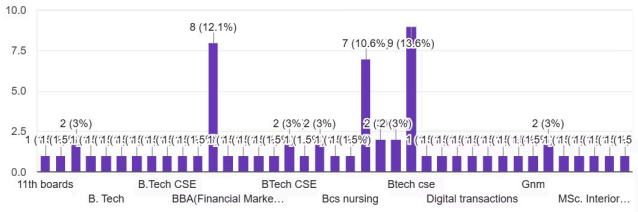
66 responses



Level of Education:

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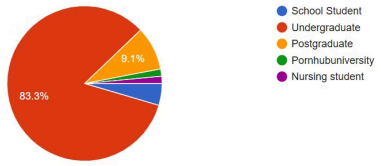

Age:

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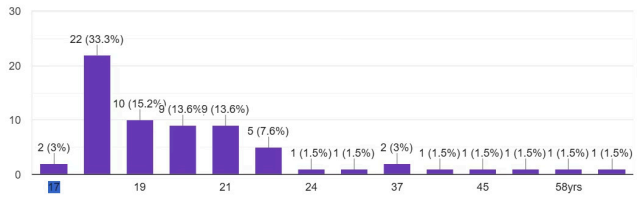

Gender:

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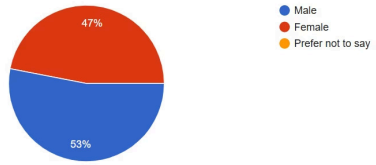

Would you recommend digital transactions to others?

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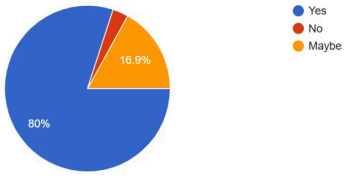
65 responses



Have you experienced any problems with digital payment (not completed, stolen money, slow processing)?

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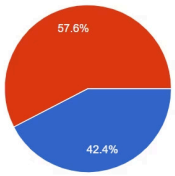

Google Form Survey

Which digital transaction method do you use most often?

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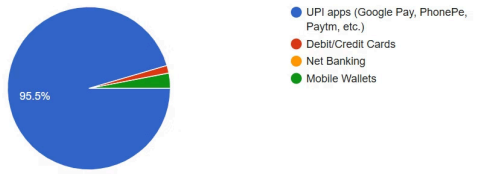

Rate the following reasons for choosing digital transactions (1 = Not Important, 5 = Very Important;)

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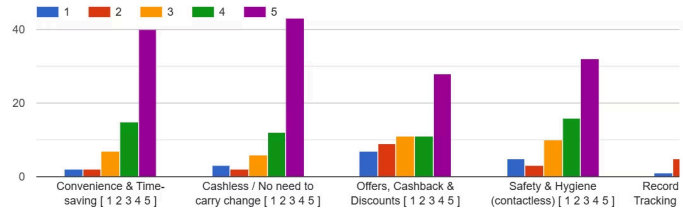

How frequently do you use digital payment methods (UPI, net banking, cards, wallets)?

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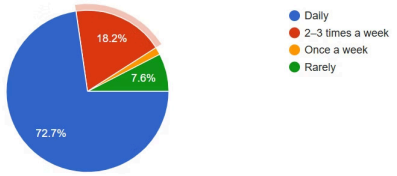

What is the most appealing characteristic of digital payments?

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What percentage of your total transactions are digital?

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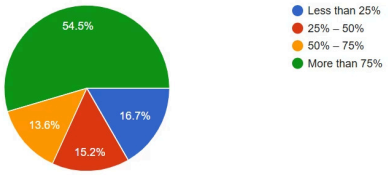

In your opinion, is making digital payments safer than carrying cash?

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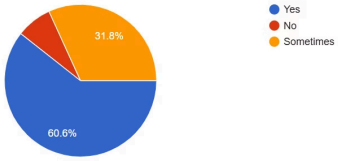

Microeconomic Analysis & Behavioral Insights

Demand-Supply Dynamics

UPI's high adoption can be explained through classical demand-supply. **Low transaction costs** for both consumers and merchants effectively **shifts the supply curve outwards** for digital payments. Convenience, speed, and real-time confirmations act as significant **non-price factors increasing demand** for UPI.

Elasticity of Demand

Demand for UPI demonstrates varying elasticity. For **small transactions** (e.g., street vendor purchases), demand for UPI is relatively **inelastic** due to its unmatched convenience. For **larger transactions**, demand becomes more **elastic** as consumers weigh security concerns and potential for cashback/rewards, sometimes reverting to cash or other digital options.

Behavioral Factors

- **Habit Formation:** Despite UPI's advantages, the ingrained habit of carrying and using cash persists for some, especially older demographics.
- **Trust & Security:** While generally high, residual concerns about cybersecurity and data privacy influence choices, particularly for less tech-savvy users.
- **Digital Rewards:** The allure of cashback, discounts, and loyalty points associated with UPI drives significant adoption among younger, financially literate users.

These factors collectively shape consumer preferences, revealing a complex landscape where economic incentives intersect with psychological biases.

Conclusion & Implications

Key Insights

- **Youth Dominance:** UPI is overwhelmingly preferred by younger, tech-native consumers, driven by convenience and digital rewards.
- **Cash's Niche:** Cash retains a residual, yet significant, role for certain transaction types (e.g., very small, anonymous) and among specific demographic groups.
- **Transaction Size Impact:** Payment method choice is sensitive to transaction size, with smaller payments leaning heavily towards UPI.

Implications

- **Businesses:** Must offer seamless UPI integration and explore loyalty programs to attract and retain younger customers.
- **Banks:** Opportunity to innovate with UPI-linked products and address security perceptions.
- **Policymakers:** Need to continue promoting digital literacy and address infrastructure gaps for broader inclusion.

Limitations

- **Sample Bias:** Predominantly university students, which may not represent the broader Indian population.
- **Self-Reported Data:** Reliance on participant recall, potentially leading to inaccuracies.
- **Limited Scope:** Focused primarily on UPI vs. cash, with less emphasis on other digital payment methods.

Thank you